INTERNAL CONTROL OVER FINANCIAL REPORTING FOUNDATIONS



Definition Of Key Terminologies/ Stakeholders Of ICFR Program

Sarbanes-Oxley Act of 2002 (SOX)

- SOX is a law passed by the US Congress to protect the investors from fraudulent financial reporting by the corporations that are listed on the US stock exchanges. The law imposes tough penalties on the lawbreakers.
- The act also requires auditors to attest and report on the publicly traded companies' assessment of their internal controls.

Securities Exchange Commission (SEC)

- The SEC is the government agency charged with implementing most of the provisions of SOX. The SEC has civil (not criminal) enforcement powers against people who violate the securities laws and SEC rules.

Public Company Accounting Oversight Board (PCAOB)

- The PCAOB regulates the audits of public companies and SEC-registered brokers and dealers. All PCAOB rules are approved by the SEC.
- The PCAOB develops standards that auditors of the public company financial statements must follow. The board also has audit inspection and enforcement authorities.

SOX And ICFR In A Nutshell

Why is SOX enacted?

- The act was passed in response to a number of corporate accounting scandals that occurred between 2000 and 2002, most notably the fraud that occurred at Enron.

What is the key provision of SOX that impact WPP?

- SOX Section 404 mandates requires management, and the auditor, to report on the effectiveness of the company's internal control over financial reporting (ICFR) in annual reports. As a foreign private issuer listed on New York Stock Exchange, WPP is required to comply with the requirements of SOX Section 404.

What is the key benefit of an effective WPP ICFR program?

- **Management & Shareholders:** Increased the reliability of financial information.
- **Employee (particularly Finance community):** Increased reliance on the management testing on ICFR by external auditors to reduce administrative workload

Roles And Responsibilities

1st Line of Defense

WPP Management and Network Management

- Management is responsible to design and implement effective ICFR to mitigate the risk of material financial misstatement.

2nd Line of Defense

WPP and Network Risk and Controls Group (RCG)

- **WPP RCG:** Supports WPP management in designing the guidelines for ICFR of certain business processes in WPP Risk and Control Matrixes (RCMs).
- **Network RCG:** Supports the Global, Regional and Opco management teams of their respective Networks in implementing the control guidelines in the RCMs.

3rd Line of Defense

WPP Internal Audit

- **Internal Audit:** Performs independent testing to attest on the effectiveness of WPP ICFR program

Overview - What Is A Risk?

- A **risk** is the threat that an event, action, or non-action could adversely affect an organization's ability to achieve its business objectives and execute its strategies successfully.
- Anything that could negatively impact the organization's ability to achieve its business objectives. Includes:
  - Adverse impact on the business
  - Lost opportunity

Types of risks:

- Financial Risk – Risk that would result in a negative financial impact to the company.
- Strategic Risk – Risk that would prevent an area from accomplishing its objectives.
- Reputational Risk – Risk that could expose the company to negative publicity.
- Operational Risk – Risk that could prevent the company from operating in an efficient manner.
- Regulatory Risk – Risk that could expose the company to fines and penalties from a regulatory agency due to non-compliance with laws and regulations.



For SOX, the focus is on Financial Risks

Financial Risks And Financial Statement Assertions

What is financial risk?	• Information presented in the financial statement is materially misstated due to fraud, undetected significant errors and others.
What are the financial statement assertions?	• **Existence or occurrence**: Assets or liabilities of the company exist at a given date, and recorded transactions have occurred during a given period. • **Completeness**: All transactions and accounts that should be presented in the financial statements are so included. • **Valuation or accuracy:** Asset, liability, equity, revenue, and expense components have been included in the financial statements at appropriate amounts. • **Rights and obligations:** The company holds or controls rights to the assets, and liabilities are obligations of the company at a given date. • **Presentation and disclosure:** The components of the financial statements are properly classified, described, and disclosed. • **Cut off**: The transactions have been recorded in the correct accounting period. *Note: The RCM lists assertions relevant for each control*

Illustrations Of Financial Statement Assertions 1/2

Existence or Occurrence

Significant Account: Property, Plant and Equipment

FAR01.1 Fixed assets count:

- Fixed asset count is performed to verify that the fixed asset balances recorded in the book are substantiated by physical assets that exist and in working condition.

Completeness

Significant Account: Cash and Bank

CAS09.1: Bank reconciliation

- Bank reconciliation is performed to verify whether all the transactions that should be recorded in the general ledger for bank have been properly recorded.

Valuation or Accuracy

Significant Account: Accounts receivable

REV10.2: Accounts Receivable Aging Review

- Control Owner assesses the recoverability of aged items and determines if provisions or reserves need to be made if the items are likely unrecoverable.

Illustrations Of Financial Statement Assertions 2/2

Rights and Obligations

Significant Account: Account Payable

APA05.2 Invoice and pre-authorized purchase match

- Control Owner matches the invoices from the vendor to the purchase preauthorization supporting documentation to ensure that the obligation to pay exists.

Presentation and Disclosure

Significant Account: Cash and Bank

CAS27.4 Presentation of cash and overdraft in the financial statements:

- Control Owner reviews existence of the legal rights to offset the cash and overdraft balances with the bank to ensure correct presentation of cash and bank balances in the financial statement, i.e., net of cash and overdraft (current asset or liabilities), cash balance (current assets) or bank overdraft (current liabilities).

Cut - off

Significant Account: Accruals

APA06.1 Operating Expense Accrual:

- Control Owner reviews the operating expenses to be accrued as at month end, verifies each amount against the deliveries of goods / services and records accrual amount for the relevant month end.

What Are The Types Of Controls?

Preventive	• Preventive controls have the objective of preventing errors or fraud that could result in a misstatement of the financial statements from occurring.
Detective	• Detective controls have the objective of detecting errors or fraud that has already occurred that could result in a misstatement of the financial statements. <u>Management Review Controls</u> • Management review controls (MRCs) are the reviews conducted by management of estimates and other kinds of financial information for reasonableness and is a type of Detective control. • The controls require significant judgment, knowledge, and experience. • These reviews typically involve comparing recorded amounts with expectations of the Control Owner based on their knowledge and experience. The Control Owner's knowledge is, in part, based on history and, in part, may depend upon examining reports and underlying documents. • MRCs are very important controls that require enhanced documentation to prove its operating effectiveness. Please refer to the training module regarding MRCs for additional guidance.

What Are The Means To Perform The Controls?

Manual/ IT-Dependent Manual



- The control is performed by a human.

Application / Configuration



- The control is performed by a system or application
- This is further explained in the following slides.



For the application controls to be considered designed and operating effectively, it is important to note that the relevant key financial controls under Data and Technology process in WPP Opco RCM are designed and operating effectively.

APPLICATION/ CONFIGURATION CONTROLS EXPLAINED

- Since 2022, RCG introduced and included workflow application controls into the WPP Risk and Control Matrix (RCM).

- The table below shows the RCM identified controls and associated workflow application controls. The workflow application controls are on appropriate authorization checks configured in the application.

Transactional Control	Workflow Application Controls
APA11.2 - Creation of and changes to vendor master file	APA11.3, APA11.4, APA11.5
CTB01.1 – Manual Journal Entry Approval	CTB01.3, CTB01.4, CTB01.5
PAY01.1 – All payroll Masterfile changes are approved	PAY01.3, PAY01.4, PAY01.5
REV11.1 – Client credit notes	REV11.3, REV11.4, REV11.5
APA05.1 – Purchase pre-authorization	APA05.5, APA05.6, APA05.7

- The system only allows routing to the appropriate approver and cannot be manually overridden by the end user.
- The system does not allow transaction processing if an approval is not provided.
- The system does not allow a user to approve their own entry

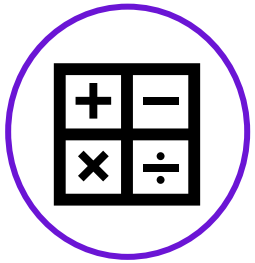
APPLICATION/ CONFIGURATION CONTROLS EXPLAINED

- Several types of application/ configuration controls exist, and some of the examples are as follows:



Validations

- Validation application controls limit risk of inappropriate transactions by confirmation of a condition.
- Condition can be set in the application to compare the data in a specific field with other fields. If the condition is not met, the application does not allow transaction to be processed.
- Example:
  - Validation application controls may be applied to invoice and pre-authorized purchase match (APA05.2).



Calculations

- Calculation application controls ensure that computation is performed accurately in the application.
- Example:
  - Calculation application controls may be applied to RCM controls which has control steps on reviewing the accuracy of calculations (e.g. FAR05.1 – The calculation of depreciation within the fixed asset roll forward review)

Example Process Narrative with Controls

For illustration only – CTB01.1 Manual journal entry approval

Risks:

- Incorrect and/or unauthorized entries can be recorded to the general ledger or sub-ledger
- Manual journal entries are not supported by appropriate documentation

Process narratives:

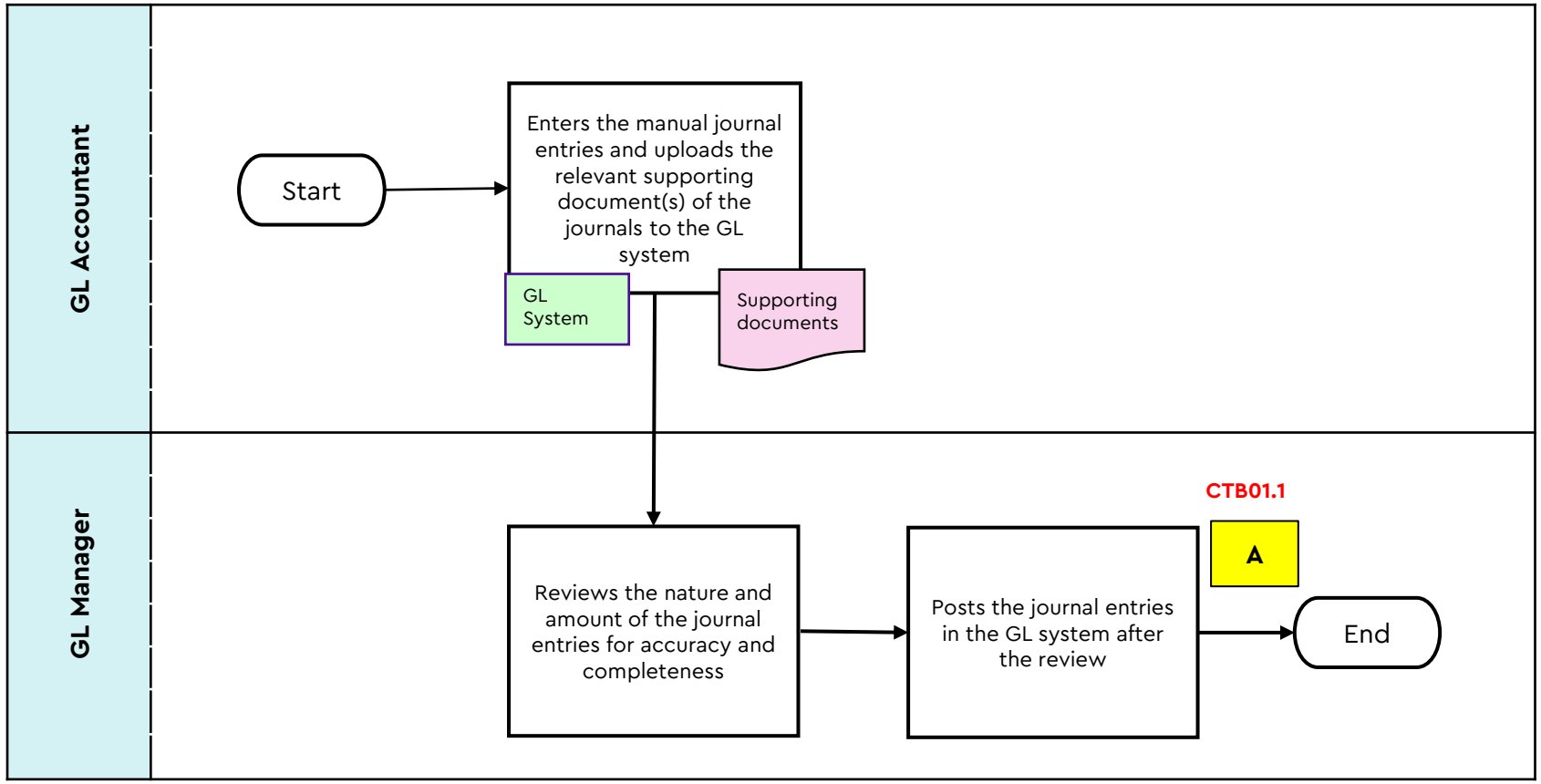
General Ledger (GL) Accountant enters the manual journal entries and uploads the relevant supporting document(s) of the journals to the GL system. Upon receiving a system notification about the journal entries to be reviewed, the GL Manager reviews the nature and amount of the journal entries for accuracy and completeness, i.e., accurate amount, correct account code and the transaction is valid, by verifying to the supporting documents. Subsequently, the GL Manager posts the journal entries in the GL system after the review.

Note:

The wording highlighted in "blue" represent the controls perform during the review and approval of the manual journal entries process.

Example Process Flow with Controls

For illustration only – CTB01.1 Manual journal entry approval



Legend:

- Process/ Action
- Document
- A — Automated Control

EXAMPLE CONTROL GUIDELINES DOCUMENTATION

Current WPP Opco RCM Control Guideline

PAY01.1 – All Payroll Masterfile Changes Are Approved

1) Control Owner receives request to make a change to payroll master data.

2) If any report(s) or spreadsheets(s) are used in the operation of the control, Control Owner confirms the completeness and accuracy of these items per Key Reports and Spreadsheets guidelines.

3) Control Owner confirms appropriateness of the change through validating that the change is supported by sufficient documentation and approves the changes.

4) Document the review and retain evidence of the performance of the control, including supporting documentation. The supporting documentation must be maintained in accordance with the WPP Control Documentation Guidance.

HYPOTHETICAL

Local RCM Control Guideline

PAY01.1 – All Payroll Masterfile Changes Are Approved

1) Payroll Manager receives request to make a change to payroll master data.

2) The request to make a change is received via e-mail. If the change is a bulk change, the e-mail must be received from the approver (Payroll Director, CFO or CEO) of the bulk change to ensure completeness and accuracy of the file.

3a) Prior to effecting the changes into payroll mastefile, Payroll Manager checks that payroll change request (e.g., revised salary, bonus etc.) are approved by Payroll Director, CFO and CEO. Payroll change request approval is typically via an approval paper.
3b) Payroll Manager updates the changes into payroll masterfile based on the approved change request.

4) If any follow up or clarification is needed, the Payroll Manager will document the reasons and results of the clarification needed to affect the change as part of the notations of the change in the system.

EXAMPLE RCM ADAPTATION

REV02.2:

- To detect a material misstatement (individual or in aggregate) in revenue recognised from projects (overtime) with respect to accuracy, existence, completeness and rights and obligations.

Opco Assessment:

- Difficult to determine what is significant as well as what is a natural, efficient design for Account Directors and Finance to perform considering the MRC level of documentation required.
- There is a large population (> 400 jobs) open at any time.
- It would never be feasible to take a coverage approach (> 75% of total revenue or job population) and to have % completion assessments documented monthly at a MRC level applied to every job.

To establish a correct control design, the 1st Step was to determine the relevant qualitative and quantitative risk factors. This is summarised this as follows:

Factor	Higher Risk "Significant"	Lower Risk "Tail"
$ Value	High $ Value	Low $ Value
Length of project	Generally > 3 months	Generally < 3 months
Staff	Large teams	Smaller teams
Tracking and phasing complexity (judgement)	Complex	Simple
# Jobs	1 - 30	>300+

EXAMPLE RCM ADAPTATION (CONT'D)

- Significance was based on a % of total revenue and central risk assessment/threshold memo prepared to support WPPAUNZ SOX units.
- March 2021 Open job data obtained – example below.

			Significant			Non Significant			Total	
SOX UNIT	2020 Gross Revenue $AUD Million	Significant Thresholds $AUD	# Jobs	$ Value - Total Estimate	Avg $ Value of Job	# Jobs	$ Value - Total Estimate	Avg $ Value of Job	# Jobs	Total Value
AKQA Australia	$ 58.1	$ 230,000	30	$ 19,793,039	$ 659,768	357	$ 11,782,627	$ 33,005	387	$ 31,575,666
Ogilvy Australia	$ 54.3	$ 220,000	3	$ 1,322,178	$ 440,726	501	$ 7,843,577	$ 15,656	504	$ 9,165,755
Wunderman Thompson Australia	$ 42.5	$ 170,000	28	$ 11,268,586	$ 402,450	523	$ 12,075,140	$ 23,088	551	$ 23,343,726
VMLY&R Australia	$ 34.8	$ 140,000	19	$ 4,806,789	$ 252,989	278	$ 7,077,825	$ 25,460	297	$ 11,884,614

REV02.2A - Significant Job Review (Account Directors)

- Quarterly review of significant Jobs
- Use of POC review template
- Detail review, documentation and forecast cost to complete or milestone tracking/evidence

REV02.2B - Detective Flux Variance Review – Full Population (Commercial Finance)

- Monthly variance review of Revenue vs Timesheet value (Month to date and Year to Date)
- MRC level Investigation over threshold (eg $40k)

- Control has been split into REV02.2A (Significant Job Review - quarterly) and REV02.2B (Revenue Timesheet flux review -monthly).

EXAMPLE RCM ADAPTATION (CONT'D)

Control Reference	Control Design
REV02.2A – Significant job review	On a quarterly basis Brand Finance Generates an open job listing report from Spectra to identify open jobs > significance threshold set (Internal Time). This is communicated to the Account Managers to give them notice that a significant job review is required for the quarter. Brand Finance will maintain evidence of their analysis which identified significant jobs for review. The Account/Project Managers Prepare a stage of completion analysis at quarter end for all jobs that are significant (above the threshold defined as per WPPAUNZ REV02.2 Threshold Assessment memo). All jobs with Internal Time Estimate (Total Estimate Revenue excluding pass through costs) exceeding the determined threshold are required to have a quarterly review performed. The % Completion analysis is reviewed by the control owner (GAD, MD, Account Director) who has knowledge of the job and work to be delivered. The Analysis is supported by Estimates, Statement of Works, Cost to complete estimates or Milestone Tracking and evidence of delivery where applicable. The workings are reconciled to revenue recognized for the project. Questions asked and investigations performed are documented with supporting evidence. The Reviewer is to document "Why they are Happy" with the conclusions reached of the Revenue position and stage of completion presented. Brand Finance may assist with completeness and accuracy checks/review to ensure that the formulas used and tie through of workings are accurate. Evidence of the checks performed are documented. The review is to be performed by the 20th day of the following month. Upon finalisation of all documentation for the review, if any jobs are identified after month end close with significant adjustments > $200k individually or in aggregate these would be reported to WPP Global reporting for adjustments.

EXAMPLE RCM ADAPTATION (CONT'D)

Control Reference	Control Design
REV02.2B – Revenue vs Timesheet variance review	This Variance review control is applied to the entire population of Projects (Overtime) and not only "Non-Significant Jobs". The Brand Commercial Manager Prepares a monthly variance analysis by job which compares the revenue recognized vs the time recorded on the job at a month to date and year to date/project to date basis. The analysis is performed by the Brand Commercial Manager and Reviewed by the Brand Finance Director. All variances that exceed the threshold are to be investigated. Investigation steps performed by Brand Finance can include but are not limited to: Ø Review of Job Detail Report Ø Discussions with the Account Director Ø Inspection of cost to complete estimates, job deliverables, client communications, Timelines or any other support for the stage of completion Ø Documentation of questions asked, and answers/evidence received is attached/documented with the variance review workings, including dates, Amounts, and documentation support. Ø Documentation of "Why they are Happy with the conclusions reached", analysis etc relating to the items they are investigating. Ø IUC key reports to accompany the analysis include: Spectra (ERP) Missing Time Sheet report, Control check of total revenue and time for the month per system Report vs the analytic workings and Tableau job data report and report parameters. The review process occurs during the month end close process, however the deadline for all Management Review Control documentation is to be performed by the 20th day of the following month. Any job identified with significant adjustments (individual or in aggregate) that exceed > $200k are required be reported to WPP Global reporting for adjustments.

EXAMPLE RCM ADAPTATION (LEVERAGING APPLICATION/ CONFIGURATION CONTROLS)



Validation Application Controls

Current Controls

APA05.2 – Invoice and Pre-authorized Purchase Match

Control Guidelines (abbreviated for illustration)

- 1) Control Owner obtains/receives the invoice for matching
- 2) If invoice information is manually entered into the system the Control Owner agrees physical invoice to information input into the system (to identify input errors)
- 3) Control Owner matches the invoice to the purchase authorization supporting documentation.
- 4) Control Owner must ensure all differences between the invoice and the purchase authorization supporting documentation were investigated following the Opco's acceptable tolerance

If Application Controls Are Used...

- APA05.2a - Application performs matching of invoice to purchase authorization, by validating certain fields:
  - ❑ Amount, line-item quantity match between invoice and purchase authorization
  - ❑ Unique purchase authorization serial number on invoice matches against purchase authorization
- APA05.2b - Application consolidates exceptions in a report
- APA05.2c - Control owner generates the exception report for review and ensures all differences were investigated and resolved.

APPLICATION/ CONFIGURATION CONTROLS - REMINDER

- Opcos **must** assume the application control may fail and perform **both** application controls and related manual control it is intended to replace until:

Criteria 1

- ❑ The application control has been tested and passed by IA IT; AND
- ❑ The application has an entire audit year where all Data and Technology controls related to the application has no deficiencies.



THANK YOU

WPP